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November 16, 2016

U.S. Copyright Office
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Washington, DC 20559-6000

Attn: Kevin R. Amer, Senior Counsel for Policy and International Affairs

Re: NYIPLA Reply Comments
"Section 1201 Study: Request for Additional Comments"
Docket No. 2015-8
81 FR 66296 (Sept. 27, 2016).

Dear Mr. Amer:

The New York Intellectual Property Law Association ("NYIPLA") welcomes the opportunity to respond to the Section 1201 Study: Notice and Request for Public Comment.

The NYIPLA is a professional association comprised of over 1,000 lawyers interested in Intellectual Property law who live or work within the jurisdiction of the United States Court of Appeals for the Second Circuit, and members of the judiciary throughout the United States as ex officio Honorary Members. The NYIPLA's mission is to promote the development and administration of intellectual property interests and educate the public and members of the bar on Intellectual Property issues. Its members work both in private practice and government, and in law firms as well as corporations, and they appear before the federal courts and the United States Patent and Trademark Office ("USPTO"). The NYIPLA provides these comments on behalf of its members professionally and individually and not on behalf of their employers.

In response to the request for additional written comments in connection with the study of 17 U.S.C. 1201 by the United States Copyright Office (the "Office"), the NYIPLA offers the following reply comments to those of the Free Software Foundation dated October 23rd, 2016, with particular focus on inquiries numbers 1 and 2.

1.a. Proposals for New Permanent Exemptions: Assistive Technologies for Use by Persons Who Are Blind, Visually Impaired, or Print Disabled

The Office requested commenters' views on whether the following language would be appropriate for adoption as a permanent exemption, or whether there are specific changes or additional provisions that Congress may wish to consider:

(i) When a copy of such a work is lawfully obtained by a blind or other person with a disability, as such a person is defined in 17 U.S.C. 121; provided, however, that the rights owner is remunerated, as appropriate, for the price of the mainstream copy of the work as made available to the general public through customary channels, or

(ii) When such work is a nondramatic literary work, lawfully obtained and used by an authorized entity pursuant to 17 U.S.C. 121.

NYIPLA Reply Comment:

As an initial matter, the anti-circumvention provisions of Section 1201 are critical to protecting rights holders and encouraging digital dissemination of works, and the triennial rulemaking process is essential to ensuring that those rights are balanced against the interests of content users. It is the NYIPLA's belief, as a general matter, that refining the rulemaking process to make it more efficient and consistent while preserving its inherent nimbleness and flexibility will likely do more long term good than implementing specific, hard-and-fast "permanent" exemptions that will, in all likelihood, require revision down the line. The NYIPLA agrees, for example, with those who have stated that de novo review of previously entered exemptions in the absence of meaningful opposition is inefficient, and would be in favor of entering presumptions to reduce unnecessary burdens.¹ Technology changes rapidly and in ways that are difficult to foresee. Time and again, forward-looking or technology-agnostic provisions have proved difficult to craft. Copyright law must remain adaptable to avoid being outmoded.

The proposed permanent exemption in 1a is an example of a well-intentioned proposal that is nevertheless problematic. As drafted, the exemption is consistent with 17 U.S.C. 121, which addresses nondramatic literary works. However, as others have pointed out, when President Obama submitted the Treaty of Marrakesh, which has since entered into effect, to the Senate for ratification earlier this year, he recommended expanding 17 U.S.C. 121 to address other literary

¹ AIPLA Comments on 1201 Study, page 2 (Mar. 3, 2016)

(<http://www.aipla.org/advocacy/executive/Documents/AIPLA%20Comments%20on%201201%20Study%20FINAL%203416.pdf>, last visited Nov. 7, 2016); Comments of Public Knowledge, page 4

(https://www.publicknowledge.org/assets/uploads/blog/Public_Knowledge_Section_1201_Comments.pdf, last visited Nov. 7, 2016)); Comments Of The Library Copyright Alliance On Section 1201 Of The Digital Millennium Copyright Act, pages 3, 33-34 (Mar. 3, 2016)

(<http://www.librarycopyrightalliance.org/storage/documents/1201NOILCAfinal.pdf>, last visited Nov. 7, 2016)); Comments Of The Center For Democracy & Technology,

works as well as to musical works fixed in the form of text or notation.²

For the purposes of this reply comment only, the NYIPLA submits that if an exemption is necessitated, its language be clarified so as not to improperly encumber rights holders. For example, to the extent that the Copyright Office intends to propose a Permanent Exemption along the lines of what is provided in Section 1a, the organization agrees with those who would broaden it by eliminating the reference to “remuneration.” Where remuneration is called for, it is addressed by the language “lawfully obtained copy.” In some instances, therefore, the reference to remuneration would be redundant; in others, it may impose an obligation that is inconsistent with the law. Additionally, given the minimal impact such an exemption would have on users,³ the NYIPLA would also provide further clarity to the exemption as follows:

(i) When a lawfully obtained copy of such a work is configured for consumption by a blind or other person with a disability, as such a person is defined in 17 U.S.C. 121, or

(ii) When such work is lawfully obtained and used by an authorized entity pursuant to 17 U.S.C. 121.

1.b. Proposals for New Permanent Exemptions: Device Unlocking

The Office requested comment on whether an unlocking exemption would be appropriate for adoption as a permanent exemption or whether such activities are more properly considered as part of the triennial rulemaking. For commenters who favor consideration of a permanent exemption, the Office requested their views on whether the language of the 2015 unlocking exemption would be appropriate for adoption as a permanent exemption, or whether there are specific changes or additional provisions that Congress may wish to consider.

NYIPLA Reply Comment:

Considering the number of other potential issues to be handled during the triennial rulemaking,

² Marrakesh Treaty Implementation Act of 2016, Legislative Implementation Documents, United States Patent and Trademark Office, *available at* <https://www.uspto.gov/learning-and-resources/ip-policy/copyright/legislative-implementation-documents>.

³ AFB Class 9 Comments at 8-10 (discussing how TPMs in e-books generally restrict text-to-speech screen readers and refreshable Braille displays from accessing the literary work); Class 9 Comments of iFixit (iFixit Class 9 Comments) at 1-2, Docket No. 2014-07, *available at* http://copyright.gov/1201/2015/comments-020615/InitialComments_LongForm_iFixit_Class09.pdf (noting that “DRM on legally purchased e-books blocks the ability of owners to access the book through text-to-speech programs – many of which come preinstalled on ereaders” and that “[o]nly 1% of published books are available in braille”); Comments of the Association of American Publishers at 1, Docket No. 2014-07, *available at* http://copyright.gov/1201/2015/comments-020615/InitialComments_ShortForm_AAP_Class09.pdf (access controls can “prevent the use of screen readers for the print-disabled, and if no other format is available, can effectively block access to digital print content”).

including rules that may operate to exempt certain forms of device unlocking, the NYIPLA believes that making the unlocking exemption of 2015 permanent would be premature.

1.c. Proposals for New Permanent Exemptions: Computer Programs

The Office requested commenters' views on the advisability of various approaches for exempting circumvention of access controls on computer programs that prevent arguably lawful diagnosis, maintenance and repair, among other activities. The Office asked: "Which of these models, if any, would facilitate users' ability to engage in permissible uses of software, while preserving congressional intent in supporting new ways of disseminating copyrighted materials to users?" The Office encouraged responding parties to suggest alternate formulations, keeping in mind the Office's goal of focusing discussion on this topic.

NYIPLA Reply Comment:

To the extent the Copyright Office employs an exemption, the NYIPLA offers the following helpful starting point which is based upon language from the Unlocking Technology Act of 2015.⁴

It is not an infringement to copy or adapt the software or firmware of a user-purchased device for the sole purpose of repairing or refurbishing the device to operate as intended if: (1) the copying or adapting is initiated by, or with the consent of, the owner of that device or the owner's agent; (2) the owner or agent is in legal possession of the device; and (3) the device is repaired or refurbished as a result of the copying or adapting.

The NYIPLA believes that any proposed exemption should balance the owner's maintenance of the device with its illegitimate use for any other purpose other than repairing it or refurbishing it to perform in substantially the same manner as when the owner acquired the device. Item (3) of the above proposed rule would, in the NYIPLA's view, prevent alleged repairs and refurbishments that do nothing to actually repair or refurbish the device, or that did repair or refurbish the device but also modified it to operate in a manner in which it could not operate before.

The doctrine of repair and reconstruction in patent law would not be useful because permissive replacement/refurbishment is tied to constituents of a claim, which in isolation are not the intellectual property covered by the patent claim.⁵ In contrast, a replacement/refurbishment of a portion of a copyrighted work may itself still be subject to copyright protection in isolation (e.g., replacement of one algorithm with another that provides the same functionality, may still qualify as a copyright infringement).

1.d. Proposals for New Permanent Exemptions: Obsolete Technologies

The Office requested commenters' views on whether Congress should consider a legislative

⁴ Unlocking Technology Act of 2015, H.R. 1587, 114th Cong. (2015-2016).

⁵ *Aro Mfg. Co. v. Convertible Top Replacement Co.*, 365 U.S. 336 (U.S. 1961).

amendment to permit circumvention of faulty access controls, or whether there are other specific changes or additional provisions that Congress may wish to consider to address this issue.

NYIPLA Reply Comment:

To the extent the Copyright Office employs an exemption, the NYIPLA recommends that such an exemption allow circumvention of an access control mechanism that meets the definition of “obsolete” under Section 108,⁶ but that the exemption not apply to “malfunction” or “damage,” to the extent either of these circumstances do not comport with Section 108.

1.e. Proposals for New Permanent Exemptions: International Considerations

The Office requested commenters' views on the interactions of the foregoing proposals with existing international obligations of the United States, including free trade agreements.

NYIPLA Reply Comment:

In the NYIPLA's view, there are no inconsistencies between the Office's proposals and the United States' current international obligations.⁷ Indeed, Article 11 of the WIPO Copyright Treaty and Article 18 of the WIPO Performances and Phonograms Treaty expressly provide similar requirements effected by Section 1201, namely, that the signatory state provides “adequate legal protection and effective legal remedies” against protection technology circumvention.⁸ It is also worthy of note that the Trans-Pacific Partnership, Agreement between the United States of America and the Hashemite Kingdom of Jordan, and the Free Trade Agreement between the United States of America and the Republic of Korea contain similar, albeit less detailed, circumvention of effective technological protection measures.⁹

⁶ Bill D. Herman & Oscar H. Gandy, Jr., *Catch 1201: A Legislative History and Content Analysis of the DMCA Exemption Proceedings*, 24 CARDOZO ARTS & ENT. L.J. 121, 131 (2006) (“Even a librarian who wants only to preserve a decaying digital artifact is prohibited from circumventing an access-controlling TPM to do so.”).

⁷ WIPO Copyright Treaties Implementation Act; and Online Copyright Liability Limitation Act: Hearing on H.R. 2281 and H.R. 2280 Before the Subcomm. on the Courts and Intellectual Property of the H. Comm. on the Judiciary 105th Cong. 62 (1997) (testimony of Bruce A. Lehman)

⁸ World Intellectual Property Organization Copyright Treaty, art. 11, Dec. 20, 1996, S. Treaty Doc. 105-17 (1997); World Intellectual Property Organization Performances and Phonograms Treaty, art. 18, Dec. 20, 1996, S. Treaty Doc. 105-17 (1997).

⁹ Trans-Pacific Partnership, art. 18.68, <https://ustr.gov/sites/default/files/TPP-Final-Text-Intellectual-Property.pdf> (last visited Oct. 12, 2016); Agreement between the United States of America and the Hashemite Kingdom of Jordan on the Establishment of a Free Trade Area, art. 4, para. 13, U.S.-Jordan, Oct. 24, 2000, (<https://ustr.gov/sites/default/files/Jordan%20FTA.pdf>); Free Trade Agreement between the United States of America and the Republic of Korea, art. 18.1, para. 7, U.S.-Korea, Apr. 1, 2007

2.a. Proposed Amendments to Existing Permanent Exemptions: TPM's controlling access to computer programs

The Office requested commenters' views on whether the following should be adopted as a permanent exemption:

(i) . . . the circumvention is undertaken on a lawfully acquired device or machine on which the computer program operates solely for the purpose of good-faith security research and does not violate any applicable law, including without limitation the Computer Fraud and Abuse Act of 1986, as amended and codified in title 18, United States Code; . . . and the device or machine is one of the following:

(A) A device or machine primarily designed for use by individual consumers (including voting machines);

(B) A motorized land vehicle; or

(C) A medical device designed for whole or partial implantation in patients or a corresponding personal monitoring system, that is not and will not be used by patients or for patient care.

(ii) For purposes of this exemption, "good-faith security research" means accessing a computer program solely for purposes of good-faith testing, investigation and/or correction of a security flaw or vulnerability, where such activity is carried out in a controlled environment designed to avoid any harm to individuals or the public, and where the information derived from the activity is used primarily to promote the security or safety of the class of devices or machines on which the computer program operates, or those who use such devices or machines, and is not used or maintained in a manner that facilitates copyright infringement.

NYIPLA Reply Comment:

2(b) – (e) and 3(a)-(b) No comments provided.

While the NYIPLA takes no position on any particular amendment to Section 1201 at this time, it encourages the Copyright Office to explore potential modifications aimed at providing greater recourse against clever infringers and ever-evolving means of infringement and copyright theft. Additionally, the Copyright Office might consider whether individuals and organizations that regularly engage in circumvention of technology protection measures (TPM) and other device locks be required to file notices of circumvention with the office so that any stated purpose of the circumvention may be viewed by rights holders, and if a dispute exists, be handled in an efficient manner rather than allow continued conduct to go unabated if in fact a dispute exists between the circumventing party and the rights holder. Such an approach would need to be balanced against considerations of fair use, and the reality that whether a given act of circumvention is of the type

(https://ustr.gov/sites/default/files/uploads/agreements/fta/korus/asset_upload_file273_12717.pdf).

that the Copyright law was designed to protect.

Thank you for giving the NYIPLA the opportunity to provide feedback on Section 1201. We look forward to providing the Copyright Office with additional feedback in the future.

Respectfully submitted,

A handwritten signature in dark ink, reading "Walter E. Hanley". The signature is written in a cursive style with a long, sweeping tail on the "y".

Walter Hanley, President

Lauren Emerson and Joseph Farco, Co-Chairs, Copyright Law & Practice Committee

New York Intellectual Property Law Association